Social Interaction Intensity and Investor Behavior

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Overview of Paper

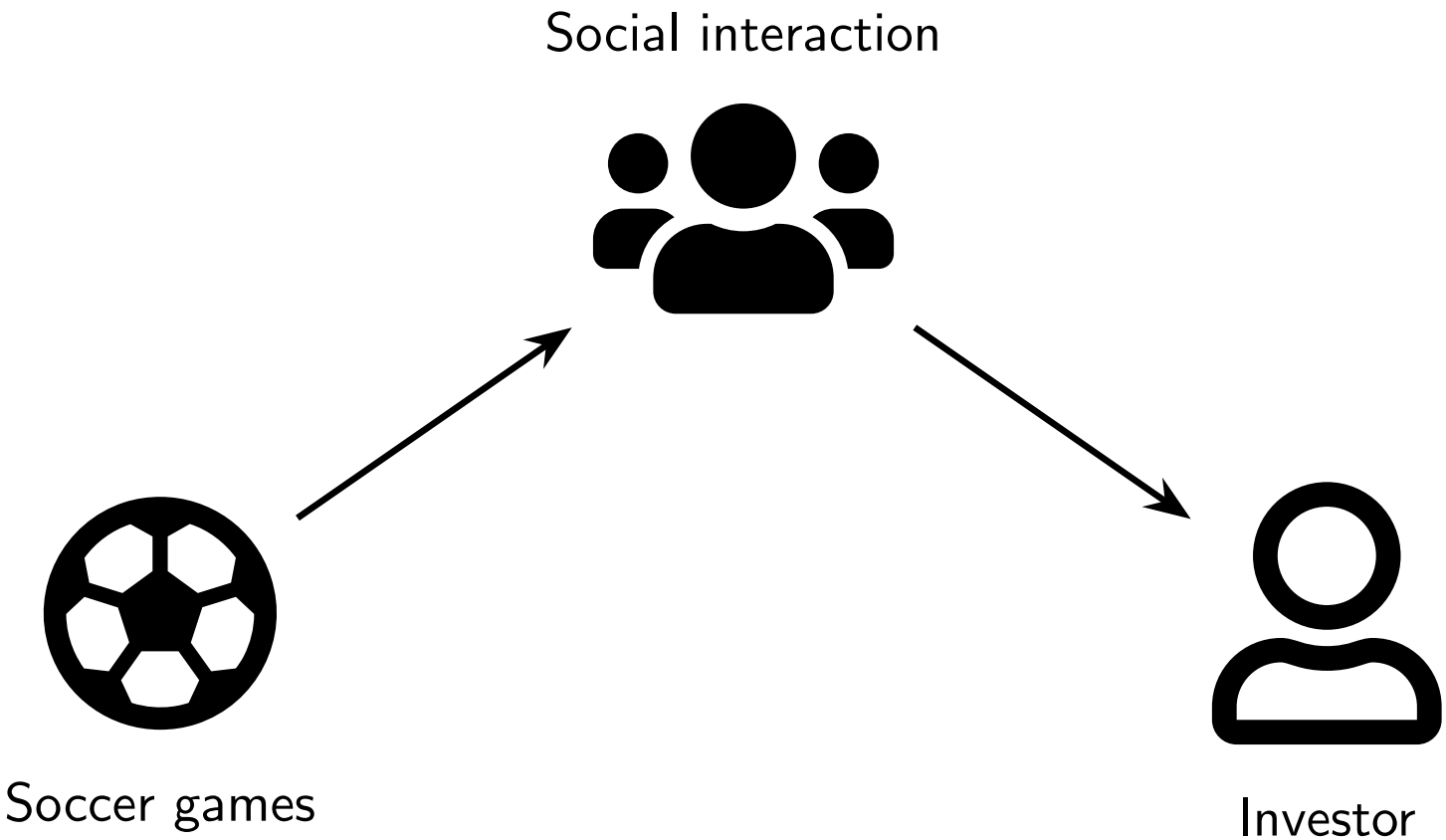
- Examine social interaction and retail stock buying
  - Israeli bank accounts, 2005 to 2014
  - Measure interaction with local soccer games
- Find games raise sensitivity to local past buys
  - No effect for sells
- Show stronger effects for riskier stocks
  - And in homogeneous municipalities

You said the magic word!

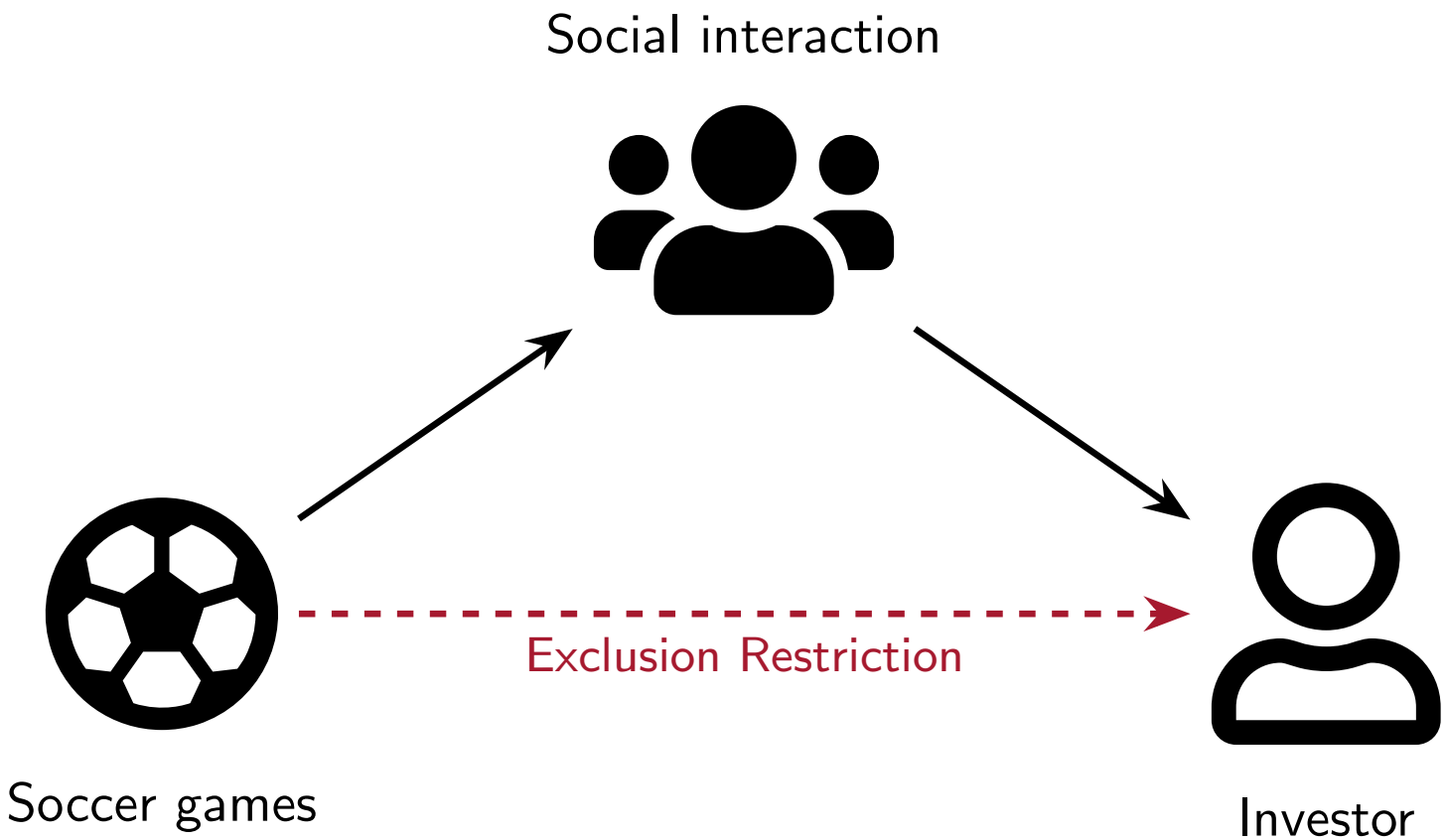
causal

- I don't get to tell you all the parts I like about the paper!
- Instead, I have to start with the exclusion restriction

Exclusion Restriction



Exclusion Restriction



Gambling

> *"The dominance of soccer as the national sport is also reflected in sports gambling revenue. More than 70% of revenue in sports betting in Israel is from soccer, with the remaining split across all other sports."*
>
> (p. 1)

Soccer games are both social and gambling events

Gambling Is Local

- Taste for gambling is local
  - Catholic areas hold more lottery stocks (Kumar 2009)
- Lottery wins spill over to neighbors
  - Neighbors of winners spend more (Kuhn, Kooreman, Soetevent, and Kapteyn 2011)
  - And borrow more and go bankrupt (Agarwal, Mikhed, and Scholnick 2020)
- Spill over into stocks too!
  - Investors near jackpot stores buy lottery-like stocks (Bui, Chan, Lin, and Lin 2024)
  - No change in sells

Salience, Not Preferences

- Authors: gambling preferences can spread via social interaction (fn. 7)
- My concern:
  - Soccer games are gambling salience shocks
- Reframing the results:
  - Stronger for volatile and skewed stocks
    - Spillover from gambling salience shock
  - Games raise buying of what neighbors bought
    - Stock preferences can be local AND the game is only shocking the salience of gambling

Suggestions: Rule Out Gambling

- Distance helps, a little
  - Effects weaker for farther games, even away games
- Control for betting odds
- Use surprise outcomes

  (Card and Dahl 2011)

Homogeneous or Just Rich?

- Stronger effects in wealthier areas
  - "More likely to have investment accounts"
- Stronger effects in homogeneous areas
  - Measured with standard deviations
- What if rich areas are all rich?

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- Stronger effects in wealthier areas
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  - Measured with standard deviations
- What if rich areas are all rich?
- Suggestion:
  - What is the correlation between these?
  - Include both in a regression?

Cross-Border Games

- Games bring two towns together
  - Fans of both teams in one stadium
- Should raise sensitivity to the other town's past buys
  - Hard to explain with local gambling or mood!

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- Games bring two towns together
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- Suggestion:
  - Interact games vs. town B with B's past buys
  - Also nearby towns' games, weighted by distance

Conclusion

- Very interesting paper, soccer is a fun and clever setting!
- Main ask: rule out gambling
  - Odds and surprise outcomes would go a long way
- Overall, enjoyable read. Good luck to the authors!